

BLAKE, et al v SAN ANDREAS SNF OPERATIONS, LLC

24CV47533

PLAINTIFF'S MOTION TO COMPEL FURTHER DOCUMENT PRODUCTION

This civil action involves claims for elder abuse, neglect, and wrongful death brought by Linda Cooper, Barry Blake, Arthur Blake, Virginia Blake (as successor in interest to Glenn Blake), as individuals and as successors in interest to their mother, Decedent Thelma Blake ("Decedent") (collectively, "Plaintiffs") against multiple Defendants.

Before the Court is Plaintiffs' motion to compel further responses to Requests for Production of Documents, Set One ("RPD") and for sanctions.

I. Factual and Procedural Background

A. Background Facts

At all relevant times, the Decedent was a 96-year-old woman who qualified as an "elder" under Welfare and Institutions Code section 15610.27. (Complaint ¶ 10.) Defendant San Andreas SNF Operations LLC dba Golden San Andreas Care Center ("Care Center") was in the business of providing continuous skilled nursing care as a twenty four hour facility as defined in 72103 of Title 22 of the California Code of Regulations and California Health and Safety Code section 1250(c). (*Id.* ¶ 15.) On May 11, 2023, Decedent was admitted to Care Center for daily custodial care. (Declaration of Paige Farris ("Farris Decl.") ¶ 2.) It is alleged that while Decedent was a resident of the Care Center, she was neglected and that Care Center failed to monitor, diagnose and/or treat a urinary tract infection ("UTI") which eventually contributed to Decedent's death. (*Id.* ¶ 28.)

Plaintiffs allege that at all relevant times, Care Center was collectively owned by a myriad of businesses, all of which are named as Defendants herein, including CaFive Operations Holdings, LLC; CH CaFive Holdings LLC, IY Evergreen CA Holdings, LLC (collectively "Evergreen Defendants"); Avalon Care Center – San Andreas, LLC; Avalon Care LLC; Avalon Health Care, Inc.; Avalon Holding, Inc; and Avalon Health Care Management, Inc (collectively "Avalon Defendants.") Plaintiffs allege that the Evergreen

Defendants and Avalon Defendants were “joint venturers in the enterprise of owning, operating, and managing” the Care Center. (Complaint ¶ 19.) Plaintiff alleges that the Evergreen Defendants and Avalon Defendants “owned, operated, and managed multiple skilled nursing facilities in California and are the alter egos of each other and/or a single enterprise.” (*Id.* ¶ 21.) Plaintiffs allege that all these entities and their subsidiaries had the same corporate office and management team and used the same management company to operate each separate care facility. (*Ibid.*) Plaintiffs further allege that the various Defendants utilized management practices, funding schemes, financial diversions and other tactics to understaff Care Center to the detriment of the patients.

B. Discovery and Responses

On September 19, 2024, Plaintiffs served the RPDs and Defendant responded on November 12, 2024. (Farris Decl. ¶ 5, Ex. A.) To several of the requests, Defendants objected on the grounds that production could reveal the Defendants’ “profits and financial condition without leave of Court in violation of California Civil Code section 3295(c).” (*Ibid.*) On January 20, 2025, Plaintiffs’ counsel drafted a meet and confer letter setting forth the perceived deficiencies in Defendant’s responses. In particular, Plaintiffs explained that Civil Code § 3295 does not prevent the discovery of financial information sought for the purpose of proving liability. (Farris Decl. ¶ 6.)

After further efforts, Defendants produced supplemental responses on February 26, 2025, and May 9, 2025. (Farris Decl. ¶¶ 7-9, Ex. B.) In June and July 2025, counsel for both parties continued to engage in meet and confer efforts but could not come to a resolution. (*Id.* ¶ 10.) The instant motion to compel followed.

II. Legal Standard

Motions to compel further responses to RPDs must set forth specific facts showing good cause justifying the discovery sought by the request. (CCP § 2031.310(b).) To establish good cause, a discovery proponent must identify a disputed fact that is of consequence in the action and explain how the discovery sought will tend to prove or disprove that fact or lead to other evidence that will tend to prove or disprove the fact. (*Digital Music News LLC v. Superior Court* (2014) 226 Cal.App.4th 216, 224, disapproved on other grounds by *Williams v. Superior Court* (2017) 3 Cal.5th 531; see also *Kirkland v. Superior Court* (2002) 95 Cal.App.4th 92, 98 [characterizing good cause as “a fact-

specific showing of relevance”].) If good cause is shown by the moving party, the burden shifts to the responding party to justify any objections made to disclosure of the documents. (*Kirkland, supra*, 95 Cal.App.4th at 98.)

III. Analysis

Plaintiff seeks further response to Request Nos. 9, 10, 52-60, 64-67, 70, 71, and 72. Each of these requests seeks documentation related to the corporate structure and management of the Care Center and/or its ownership and management agreements with other entities. These requests also seek information related to the ownership of the Care Center at the time of Decedent’s residency and information about regulatory compliance.

To each of these requests, Defendant objected on substantially similar grounds including relevance, overbreadth, privacy rights and violation of Civil Code 3295. Upon reviewing the documents and meet and confer correspondence, it appears that the primary issue Defendants have with the document requests are that they implicate Defendants’ confidential privacy rights and/or Civil Code section 3295. This code provision which is related to exemplary damages provides:

The court may, for good cause, grant any defendant a protective order requiring the plaintiff to produce evidence of a prima facie case of liability for damages pursuant to Section 3294, prior to the introduction of evidence of:

- (1) The profits the defendant has gained by virtue of the wrongful course of conduct of the nature and type shown by the evidence.
- (2) The financial condition of the defendant.

Corporate entities “have a lesser right to privacy than human beings and not entitled to claim a right to privacy in terms of a fundamental right. (*Roberts v. Gulf Oil Corp.* (1983) 147 Cal.App.3d 770, 796.) However, “they retain privacy rights with respect to financial information not reasonable related to the purpose for which it is sought.” (*Sandoval v. Post-Acut*, 2021 Cal.Super LEXIS 88846, *7-8 [citing *Ameri-Medical Corp.*, *supra*, 42 Cal.App.4th at 1288.]

Plaintiffs allege that Defendants, in an effort to maximize profits, “excessively and dangerously underfunded the facility such that neither nursing staff in adequate numbers nor adequate training of such staff could be provided to protect the residents of [Care Center] from foreseeable harm. (Complaint ¶¶ 22; also ¶¶ 24 (funds were diverted

from Care Center to other entities) They further allege Defendants “operate under an intercompany loan agreement in which funds from this facility are used to fund the facilities or businesses instead of going toward resident care and staffing.” (*Ibid.*) Plaintiffs allege that Defendants diverted funds between each other to “fraudulently make it appear as if the skilled nursing facilities were ‘insolvent’ to their tort victims.” (*Id.* ¶ 26.) Throughout the Complaint, Plaintiffs repeatedly allege that the Defendants used their various alter egos to hide or minimize assets for use by patients while diverting and maximizing their profits. Thus, knowledge of the corporate structures, relationships between the entities, profits and expenditures, and other financial information sought in the RPDs goes directly to the heart of Plaintiffs’ claims. Plaintiffs’ requests are not overbroad in that they are limited to the preceding five years or during the time period when Decedent was a resident of Care Center. (See *Blank v. Coffin*, 20 Cal.2d 457, 463 (1942) (“Evidence of the existence of a particular condition, relationship, or status... before and after an act in question is admissible to indicate the same status, condition, or relationship at the time of the act.”).)

Section 3295 is “inapplicable where the information goes to the heart of Plaintiffs’ claims, for example the claims alleging under-staffing.” (*Sandoval*, supra citing *Rawnsley v. Superior Court* (1986) 183 Cal.App.3d 86, 91.) Here, Plaintiffs are seeking this information as a central part of their allegations that Defendants engaged in Elder Abuse and neglect by funneling funds away from patients and towards themselves for profits. They are not illegitimately seeking financial information so that they can ascertain the amount of potential exemplary damages they may obtain.

It is Defendant’s burden to justify its objections. (*Fairmont Ins. Co. v. Superior Court* (2000) 22 Cal.4th 245, 255.) It has not done so. Nor has Defendant sought a protective order to protect any potentially privileged information.

Accordingly, Plaintiffs’ Motion to Compel further responses is **GRANTED**. Defendants are ordered to provide further response within 20 (twenty) days, without objection, save those objections related to attorney-client privilege or work product (for which an appropriate privilege log must be provided).

IV. Sanctions

Plaintiff seeks sanctions in the amount of \$2,480.00 for five hours of work on the instant motion and \$60 for the related filing fee. The Court shall impose monetary sanctions against any party who unsuccessfully opposes a motion to compel unless said party acted with substantial justification or if sanctions would be unjust. (CCP §§ 2031.320(b); 2030.300(d).)

Here, while Defendants may have had a reasonable belief that some of the discovery requests were protected by privacy rights, they were unreasonable in asserting that Plaintiff was not entitled to any information about the relationship between the corporate entities given both the allegations in the Complaint and case law. Accordingly, the Court grants to Plaintiffs **sanctions in the amount of \$1,060.00.**

(The Court believes that the instant dispute is potentially part of a continuum in this elder abuse action. To that end, if this is correct, the Court encourages the parties to strongly consider stipulating to the appointment of a discovery referee and presenting such stipulation to the Court. In the event that the parties do not stipulate to the appointment of a discovery referee, the Court may consider appointing a referee on its own motion pursuant to Code of Civil Procedure section 639(a)(5) to address future discovery disputes in this matter.)

The clerk shall provide notice of this ruling to the parties forthwith. Plaintiffs to submit a formal Order in compliance with Rule of Court 3.1312 in conformity with this Ruling.

SUN v HEWITT

25CV47796

PLAINTIFF'S MOTION FOR COURT JUDGMENT AGAINST PERSONS UNKNOWN

Plaintiff Jerry L. Sun (Plaintiff) brings this action to quiet title to real property commonly known as APN 014-006-017 ("Parcel One") so that clear title can be vested in Plaintiff's name. Now before the Court is Plaintiff's Motion for Judgment Against All Persons Unknown.

The motion is unopposed.

I. Factual Background

Plaintiff is the owner of Parcel One. (Declaration of Jerry L. Sun ("Sun Decl.") ¶ 4), one of four parcels that were granted to Plaintiff in 2022 (collectively "Properties.") (*Id.* ¶ 5.) The Properties are unimproved real properties located off Highway 26 in Calaveras County. (*Ibid.*) Plaintiff purchased the Properties by way of Grant Deed recorded in the Official Records of Calaveras County on May 13, 2022, as Document No. 2022-006556 (the "Sun Grant Deed") (*Id.* ¶ 6, Ex. F.) The grantor was Campstool II, a California limited partnership ("Campstool II.") (*Id.* ¶ 7.)

In February 2023, Plaintiff received a letter from the Calaveras County Assessor's Office advising that it was unable to transfer title for two parcels in the Properties due to title discrepancies. (Sun Decl. ¶ 8, Ex. G.) The Assessor's Office believed that title to one of the parcels (APN 014-006-021) was currently held in the names of Timothy J. Lane, Erin Anne Lane and Scott C. Lane. (*Ibid.*) That error was corrected and Plaintiff now has clear title to APN 014-006-021. (*Ibid.*) The Assessor's Office further advised that it was unable to transfer title for Parcel One because it believed that Campstool II only held a 50% interest in that property, as opposed to a 100% interest, and that Louis C. Pagliaro and Gladys M. Pagliaro owned the other 50% interest in Parcel One. (*Ibid.*)